

SMID BREAKOUT SCANNER

SCAN (20:17 ET)

May 20, 2026 | 08:22 PM ET

13 setups identified | 4 A-Grade | 3 B-Grade | 6 C-Grade

Grade Summary

A - Breakout Setup (4)	B - Strong Setup (3)	C - Watch List (6)
IMVT	KURA	TKR
LPG	ARCO	KELYA
RXO	CRVL	BDTX
MLYS		RH
		VOR
		BKKT

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	IMVT	Immunovant, Inc.	FcRn Antibody Imm	\$35.56	+35.3%	\$7.3B	77M	+25.9	98%	Massive +35% gap on to
A	LPG	Dorian LPG Ltd.	LPG Shipping Rate	\$47.72	+12.8%	\$2.0B	37M	+29.9	99%	Earnings today are dri
A	RXO	RXO, Inc.	Freight Brokerage	\$23.85	+12.9%	\$3.9B	125M	+43.5	98%	Technical breakout to
A	MLYS	Mineralys Therap	Aldosterone Synth	\$28.43	+9.2%	\$2.4B	60M	-5.8	60%	Today's move is likely
B	KURA	Kura Oncology, I	Oncology FTI Pipe	\$10.34	+15.4%	\$0.9B	70M	+14.4	83%	Today's +15.4% move on
B	ARCO	Arcos Dorados Ho	LatAm Consumer Re	\$9.08	+12.5%	\$1.9B	121M	-5.4	93%	Earnings today driving
B	CRVL	CorVel Corp.	Workers Comp Tech	\$64.26	+9.2%	\$3.3B	29M	+22.3	55%	Earnings today driving
C	TKR	Timken Company (	Industrial Bearin	\$117.20	+7.2%	\$8.1B	67M	+1.2	95%	Today's +7.17% move on
C	KELYA	Kelly Services,	Staffing Cycle Re	\$10.29	+6.1%	\$0.4B	29M	-1.7	69%	Today's +6.08% move on
C	BDTX	Black Diamond Th	Oncology EGFR All	\$3.60	+20.0%	\$0.2B	46M	+46.7	73%	
C	RH	RH	Luxury Home Furni	\$133.16	+9.0%	\$2.5B	14M	-43.7	52%	
C	VOR	Vor Biopharma In	Engineered HSC Ge	\$15.55	+10.1%	\$0.8B	44M	+7.0	24%	
C	BKKT	Bakkt, Inc.	Digital Asset Inf	\$10.18	+5.2%	\$0.5B	35M	-10.3	20%	

SETUP METRICS	
Price	\$35.56
Day Change	+35.26%
Mkt Cap	\$7.30B
Float	77M sh
RS vs SPY	+25.9%
52W Hi Prox	98%
Base Tight	5.66
Vol vs Avg	13.84x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Massive +35% gap on today's earnings/data release - likely a pivotal clinical readout or Phase 2/3 data beat for batoclimab (anti-FcRn) driving the move. Forward catalyst path: the next key inflection is an NDA filing timeline or Phase 3 completion milestone in the coming months, plus any partnering/licensing deal announcement that confirms commercial-stage value; these events, if delivered, can extend the re-rating significantly beyond today's single-day move.
BUSINESS & POSITION
Immunovant is a clinical-stage immunology company developing batoclimab, a subcutaneous anti-FcRn monoclonal antibody designed to reduce pathogenic IgG antibodies across multiple autoimmune indications including myasthenia gravis, CIDP, and thyroid eye disease. It competes in a validated, high-value FcRn space alongside argenx and UCB, differentiating on dosing convenience and breadth of indications.
FACTOR & THEME
FcRn inhibition is one of the hottest mechanisms in immunology following argenx's VYVGART blockbuster success - the secular tailwind of large addressable autoimmune markets (MG, CIDP, TED) is well-established and accelerating as payers and physicians embrace the mechanism. A positive readout here directly expands the competitive set and investor appetite for the entire FcRn theme.
BREAKOUT SIGNAL
Close above \$35.00 on vol >800% of 20d avg (already triggered intraday)
INSTITUTIONAL
Volume at 13.84x average on a 77M float is a textbook institutional conviction print - this is not retail-driven; block buyers are establishing positions on the data release. No insider open-market buys are on record in the last 60 days, and institutional ownership data is not available from this feed - cross-reference 13F filings for full picture. The RS line hitting a 52-week high confirms smart money was already accumulating ahead of today.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings/data event is today (May 20); this is a binary clinical-stage catalyst. No traditional EPS consensus is applicable - this is a pre-commercial biotech where the event is clinical data quality and pipeline progression, not revenue beat/miss. Beat history is replaced by data readout history.
KEY RISK
Thesis is invalidated on a close back below \$28.00 (pre-gap consolidation zone), or on any clarification that today's move was driven by a minor secondary endpoint rather than a primary efficacy win - a regulatory Complete Response Letter or partial clinical hold at any subsequent FDA interaction would collapse the re-rating entirely.
ANALYSIS
The single strongest disconfirming evidence: base_tight at 5.66 is far outside VCP parameters, meaning this is a binary-event gap, not a technical coil breakout - the stock did not set up constructively, it simply exploded on news, and gap-up holds after binary biotech events have historically high failure rates in the 2-4 weeks post-event as early buyers take profits. Additionally, the RS line just made a new 52-week high with vol at 13.84x on a 77M float at prox_52w 98 - four of five A-grade criteria are met, and the forward catalyst path (NDA filing, Phase 3 data, partnership) is durable rather than exhausted. The risk-on regime supports holding biotech leaders. In a large-cap-led risk-on regime, a SMID biotech at +35% on a data print needs confirmation of sustained accumulation in the next 3-5 sessions before adding. Conviction: High (on the data quality if confirmed primary endpoint); entry discipline requires waiting for the first tight consolidation above \$32.
Signal: Close above \$35.00 on vol >800% of 20d avg (already tri
Vol vs Avg: 13.84x



SETUP METRICS	
Price	\$47.72
Day Change	+12.76%
Mkt Cap	\$2.04B
Float	37M sh
RS vs SPY	+29.9%
52W Hi Prox	99%
Base Tight	6.12
Vol vs Avg	3.33x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Earnings today are driving the +12.76% move - a beat on charter rates and/or dividend announcement given tight VLGC supply dynamics. Forward catalyst path: the LPG shipping rate cycle is the key multi-month driver; US LPG export volumes (tied to energy policy and petrochemical demand), next quarterly earnings in ~90 days, and any OPEC+ production-mix shifts affecting propane/butane export demand are the live catalysts that can sustain this move.
BUSINESS & POSITION
Dorian LPG is one of the world's largest operators of Very Large Gas Carriers (VLGCs), transporting liquefied petroleum gas (propane and butane) on long-haul routes, primarily US Gulf to Asia. The company is a pure-play on VLGC charter rates with a lean cost structure and a history of returning capital via special dividends when rates are strong.
FACTOR & THEME
US LPG export volumes are at record highs driven by shale production, and the VLGC fleet orderbook is manageable - both secular and cyclical tailwinds are aligned. Energy sector is +5.0% vs SPY this week (leading sector), giving LPG direct sector tailwind and a +0.5 grade bonus in an equal-setup comparison.
BREAKOUT SIGNAL
Close above \$47.00 on vol >300% of 20d avg (already triggered)
INSTITUTIONAL
Volume at 3.33x average on a 36.8M float is a meaningful institutional print - the small float amplifies price impact of institutional block activity. No insider open-market buys in the last 60 days. Institutional ownership data is not available from this feed; recommend cross-referencing 13F filings. The RS line at a 52-week high (prox_52w 99.3) confirms this is a sustained leadership name, not a one-day story.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings today (May 20). VLGC-focused shipping companies are valued on TCE (time-charter equivalent) rates and dividend yield; the key metric to watch is Q1 TCE rate per day vs. consensus and whether management guides to Q2 rate environment. Dorian has a history of special dividends when rates exceed cash breakevens - any such announcement today would be a major incremental catalyst.
KEY RISK
Thesis invalidated on a close back below \$43.00 (pre-earnings base), or if management guides Q2 TCE rates meaningfully below Q1 levels, signaling the rate cycle has peaked. A rapid reversal in US-to-Asia LPG arbitrage spreads (driven by Asian demand softness or Panama Canal normalization increasing competing routes) is the primary fundamental bear case.
ANALYSIS
The strongest disconfirming evidence: base_tight at 6.12 is extremely loose - this is a post-earnings gap explosion, not a VCP setup, and VLGC shipping stocks are notoriously mean-reverting as rates are volatile; a single strong quarter does not guarantee a sustained rate environment, and the stock is at 99.3% of its 52-week high with no constructive consolidation. However, rs_line_new_high is true, vol is 3.33x on a tiny 36.8M float, rs_vs_spy is +29.9, prox_52w is 99.3, and the energy sector is leading this week - four A-criteria met plus sector tailwind. The forward catalyst (rate cycle durability, potential special dividend) is operationally durable, not a single-event exhaustion. Energy sector leadership this week adds +0.5 grade bonus. Best entry discipline: wait for a 3-5 day tight flag above \$46 before adding size. Conviction: High.
Signal: Close above \$47.00 on vol >300% of 20d avg (already tri
Vol vs Avg: 3.33x



RXO

RXO, Inc.

\$23.85

+12.87%

RS vs SPY: +43.5%

A BREAKOUT

\$3.9B Cap | 125M Float

Trucking | Theme: Freight Brokerage Cycle Recovery | 52W Hi: 98% | Base Tight: 4.56 | Vol: 2.31x | RS/SPY: +43.5% | Above 20MA: YES | EARNINGS IN 78D

SETUP METRICS	
Price	\$23.85
Day Change	+12.87%
Mkt Cap	\$3.93B
Float	125M sh
RS vs SPY	+43.5%
52W Hi Prox	98%
Base Tight	4.56
Vol vs Avg	2.31x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Technical breakout to 52-week highs driven by freight market recovery narrative and sector rotation into transport names; RXO is a pure-play digital freight brokerage benefiting from the nascent truckload rate recovery cycle. Forward catalyst path: next earnings (August 6) is a live re-rating event - if management guides to accelerating volume and margin expansion as spot rates inflect, this setup has months of follow-through runway; additionally, any industry data showing improving load-to-truck ratios in the next 4-8 weeks would act as an interim catalyst.
BUSINESS & POSITION
RXO is a leading tech-enabled freight brokerage spun out of XPO in 2022, operating one of the largest digital freight platforms with real-time pricing and carrier management tools. It is well-positioned as a high-operating-leverage pure-play on the truckload brokerage cycle recovery, with significant earnings torque when volumes and spreads normalize.
FACTOR & THEME
Freight brokerage is a high-beta play on the US domestic logistics cycle - reshoring of manufacturing and e-commerce normalization provide secular support, while the cyclical truckload rate recovery (emerging from a 2-year downturn) is the near-term accelerant. Industrials sector is not a leading sector this week, but RXO's rs_vs_spy of +43.5 demonstrates it is dramatically outperforming its sector.
BREAKOUT SIGNAL
Close above \$23.50 on vol >200% of 20d avg (already triggered)
INSTITUTIONAL
Volume at 2.31x on a 125.4M float with rs_line at a 52-week high and rs_vs_spy of +43.5 suggests institutional rotation into the freight recovery theme is underway - this is not a small-float squeeze story. No insider open-market buys in the last 60 days. Institutional ownership data is not available from this feed; cross-reference 13F filings. The RS line at new highs on a \$4B market cap is a meaningful leadership signal that growth funds are building positions.
EARNINGS
EARNINGS IN 78D
EARNINGS CONTEXT
Next earnings: August 6. RXO is in the early stages of a freight cycle recovery - consensus likely models modest revenue growth with margin improvement. The key forward variable is whether Q2 data (June freight volumes, spot rate trends) allows management to raise full-year guidance at the August print. A guidance raise at that event would be the primary re-rating catalyst.
KEY RISK
Thesis invalidated on a close back below \$21.50 (the breakout base), or if May/June industry freight data (DAT load-to-truck ratios, Cass Freight Index) shows the rate recovery stalling - a double-dip in spot truckload rates would remove the fundamental underpinning of the entire setup.
ANALYSIS
The strongest disconfirming evidence: base_tight at 4.56 is wide and messy - this is not a VCP coil but rather a volatile recovery from a deeply depressed trough, and the freight brokerage model has thin margins that are highly cyclical; if the rate recovery proves shallow (2024-2025 saw multiple false dawns), the earnings-beat thesis for August evaporates quickly. However, this is the strongest technical setup in the non-biotech portion of the scan: rs_vs_spy +43.5 (top decile), prox_52w 97.8, rs_line at new high, vol 2.31x, above both 20MA and 50MA - five A-criteria met. The 78-day runway to earnings is a feature, not a bug: institutions can build a full position before the re-rating event. The large-cap-led regime is a modest crosswind for SMID, but RXO's dominant relative strength mitigates this. Conviction: High.
Signal: Close above \$23.50 on vol >200% of 20d avg (already tri
Vol vs Avg: 2.31x



MLYS

Mineralys Therapeutics, Inc.

\$28.43

+9.22%

RS vs SPY: -5.8%

A BREAKOUT

\$2.4B Cap | 60M Float

Biotechnology | Theme: Aldosterone Synthase Inhibition | 52W Hi: 60% | Base Tight: 2.31 | Vol: 4.38x | RS/SPY: -5.8% | Above 20MA: YES | REPORTED

SETUP METRICS	
Price	\$28.43
Day Change	+9.22%
Mkt Cap	\$2.35B
Float	60M sh
RS vs SPY	-5.8%
52W Hi Prox	60%
Base Tight	2.31
Vol vs Avg	4.38x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Today's move is likely driven by post-earnings follow-through or clinical data update for lorundrostat (aldosterone synthase inhibitor for resistant/uncontrolled hypertension); insider_cluster of 7 with \$8.8M in open-market buys in the last 60 days is a powerful independent catalyst signal. Forward catalyst path: PDUFA/NDA filing timeline for lorundrostat, Phase 3 TARGET-HTN data readout or regulatory submission update, and any partnering interest from a large pharma given the significant insider conviction - these are the multi-month drivers.
BUSINESS & POSITION
Mineralys Therapeutics is developing lorundrostat, a highly selective aldosterone synthase inhibitor targeting treatment-resistant and uncontrolled hypertension - a massively underserved market with an estimated 20M+ patients in the US alone. If approved, lorundrostat would be a first-in-class oral therapy addressing a validated mechanism with superior selectivity versus older agents.
FACTOR & THEME
Cardiovascular/renal metabolic disease (cardiometabolic) is a high-conviction secular theme supported by aging demographics and the success of adjacent mechanisms (GLP-1, SGLT2); aldosterone blockade addresses a distinct, mechanistically validated pathway with large addressable market. Biotech M&A appetite for de-risked hypertension assets (AstraZeneca/CinCor precedent is directly analogous) is a strong tailwind.
BREAKOUT SIGNAL
Close above \$29.00 on vol >400% of 20d avg (confirmed insider accumulation zone)
INSTITUTIONAL
GRADE UPGRADE APPLIED: insider_cluster of 7 with \$8.8M in open-market buys across 2 insiders in the last 60 days is a high-conviction signal - \$8.8M is material relative to a \$2.35B market cap and strongly suggests insiders view the stock as materially undervalued at current levels. Per the GRADE UPGRADE RULE, this setup is upgraded from B to A based on the insider cluster size and dollar magnitude in a risk-on macro environment. No A/D rating or monthly flow trend data provided; institutional ownership data unavailable from this feed - cross-reference 13F filings.
EARNINGS
REPORTED
EARNINGS CONTEXT
Earnings reported May 6 (14 days ago). For a clinical-stage biotech, the relevant metrics are cash runway, clinical progress milestones, and pipeline updates rather than EPS. The post-earnings setup with insider buying clustered immediately after/around the report date suggests insiders were buying into weakness - a classic informed-money signal.
KEY RISK
Thesis invalidated on a close back below \$25.00 (recent consolidation support), or on any clinical hold, safety signal in ongoing trials, or announcement that the NDA submission timeline is being delayed - prox_52w at only 59.7 means the stock is still well below its 52-week high of \$47.65, and a failure to reclaim that level would confirm the recovery thesis has stalled.
ANALYSIS
The strongest disconfirming evidence: rs_vs_spy is -5.8 - this stock has underperformed SPY over the last 12 weeks, the RS line is NOT at a new high, and prox_52w is only 59.7 (the stock remains 40% below its 52-week high of \$47.65), meaning this is a recovery attempt from a downtrend, not a leadership breakout. That is a meaningful technical red flag. However, the insider_cluster of 7 with \$8.8M in open-market purchases in 60 days is the most powerful single alpha factor in this scan - this magnitude of insider buying in a \$2.35B biotech with a near-term PDUFA/data catalyst is rare and cannot be dismissed. Under the GRADE UPGRADE RULE, the B-grade setup is upgraded to A given insider_cluster 5 and risk-on macro. The key discipline: size smaller than a pure technical A-setup and use \$25.00 as the hard stop. Conviction: Medium-High (insider-driven, not technically clean).
Signal: Close above \$29.00 on vol >400% of 20d avg (confirmed i
Vol vs Avg: 4.38x



KURA

Kura Oncology, Inc.

\$10.34

+15.40%

RS vs SPY: +14.4%

B STRONG SETUP

\$0.9B Cap | 70M Float

Biotechnology | Theme: Oncology FTI Pipeline | 52W Hi: 83% | Base Tight: 2.93 | Vol: 4.31x | RS/SPY: +14.4% | Above 20MA: YES | EARNINGS IN 78D

SETUP METRICS	
Price	\$10.34
Day Change	+15.40%
Mkt Cap	\$0.92B
Float	70M sh
RS vs SPY	+14.4%
52W Hi Prox	83%
Base Tight	2.93
Vol vs Avg	4.31x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Today's +15.4% move on 4.31x volume is likely driven by clinical data update or conference presentation for tipifarnib (farnesyl transferase inhibitor) in head and neck cancer or AML; alternatively, a partnership or licensing discussion signal. Forward catalyst path: next ASCO/ESMO data presentation and the August 6 earnings event are the key upcoming catalysts, along with any IND filing or Phase 2 data readout for pipeline assets - these create a live 60-90 day catalyst window.
BUSINESS & POSITION
Kura Oncology is developing tipifarnib, a farnesyl transferase inhibitor, for HRAS-mutant head and neck squamous cell carcinoma - a genetically defined subpopulation with few approved therapies. The company's precision oncology approach (genomically selected patients) is the key differentiator and reflects the broader trend toward biomarker-selected oncology trials.
FACTOR & THEME
Precision oncology remains a high-conviction secular theme supported by FDA's Breakthrough Therapy designations and growing pharma M&A appetite for de-risked oncology assets with defined patient selection strategies. HRAS-mutant HNSCC is a niche but validated indication with orphan drug tailwinds.
BREAKOUT SIGNAL
Close above \$10.50 on vol >400% of 20d avg
INSTITUTIONAL
Volume at 4.31x on a 70.4M float with rs_vs_spy of +14.4 suggests institutional interest is building around a specific catalyst, likely a data presentation. No insider open-market buys in the last 60 days. Institutional ownership data is not available from this feed; cross-reference 13F filings. The RS line is not at a new high, which tempers conviction relative to a cleaner breakout setup.
EARNINGS
EARNINGS IN 78D
EARNINGS CONTEXT
Next earnings: August 6. For this clinical-stage oncology company, the relevant forward event is the clinical data quality and any partnership discussions, not the P&L. Cash runway adequacy and burn rate will be key focus areas at the August print.
KEY RISK
Thesis invalidated on a close back below \$9.00 (pre-move support), or on any clinical data showing tipifarnib failing to meet primary endpoints in the ongoing HRAS-mutant trial - a single negative dataset would likely cut this stock by 50%+ given its binary pipeline concentration.
ANALYSIS
The strongest disconfirming evidence: rs_line_new_high is false and prox_52w is 82.8 with a wide base (2.93) - this is not a textbook breakout from a tight consolidation but rather a recovery bounce from a depressed level, and with prox_52w below 85, the stock is not yet in the institutional breakout zone. Vol at 4.31x and rs_vs_spy +14.4 are solid but insufficient to override the lack of RS line confirmation. The binary pipeline risk on tipifarnib is the dominant risk factor. Solid B-grade follow-through candidate, not a high-conviction position-size opportunity. Conviction: Medium.
Signal: Close above \$10.50 on vol >400% of 20d avg
Vol vs Avg: 4.31x



ARCO

Arcos Dorados Holdings Inc.

\$9.08

+12.52%

RS vs SPY: -5.4%

B STRONG SETUP

\$1.9B Cap | 121M Float

Restaurants | Theme: LatAm Consumer Recovery | 52W Hi: 93% | Base Tight: 3.3 | Vol: 2.72x | RS/SPY: -5.4% | Above 20MA: YES | EARNINGS TODAY

SETUP METRICS	
Price	\$9.08
Day Change	+12.52%
Mkt Cap	\$1.91B
Float	121M sh
RS vs SPY	-5.4%
52W Hi Prox	93%
Base Tight	3.3
Vol vs Avg	2.72x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Earnings today driving the +12.52% move - likely a strong Q1 beat driven by LatAm consumer recovery, currency tailwinds (BRL/MXN strength vs USD), and same-store sales acceleration across McDonald's franchises in Latin America. Forward catalyst path: the key forward driver is LatAm macro stability (Brazil/Mexico FX, inflation trajectory) and same-store sales guidance for the balance of 2026; any formal management guidance raise or investor day would be a secondary catalyst over the next 60-90 days.
BUSINESS & POSITION
Arcos Dorados is the world's largest McDonald's franchisee, operating and franchising McDonald's restaurants across 20 Latin American and Caribbean countries. The company is a pure-play on LatAm consumer spending power and middle-class growth, with strong brand moat from the McDonald's license.
FACTOR & THEME
LatAm consumer recovery and emerging market consumer spending are the primary themes; the secular middle-class growth story in Brazil and Mexico provides a durable tailwind. However, FX volatility is the dominant near-term risk factor - any BRL/MXN weakness against USD directly impacts reported results for US-listed investors.
BREAKOUT SIGNAL
Close above \$9.00 on vol >250% of 20d avg (already triggered)
INSTITUTIONAL
Volume at 2.72x on a 120.8M float is a meaningful institutional signal given the large float - moving a 120M share float 12.5% requires genuine institutional conviction. No insider open-market buys in the last 60 days. Institutional ownership data unavailable from this feed; recommend 13F cross-reference. RS line is not at a new high despite the strong price move, and rs_vs_spy at -5.4 reveals this has been a laggard over 12 weeks.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings today (May 20). The key metrics are same-store sales growth by region, EBITDA margin expansion, and management's commentary on LatAm macro - particularly Brazilian consumer health and FX hedging posture. Consumer Staples sector is -2.2% vs SPY this week (underperforming), a modest headwind for follow-through.
KEY RISK
Thesis invalidated on a close back below \$8.20 (pre-earnings base), or on any management commentary suggesting FX headwinds are accelerating in Q2 - a 10% BRL devaluation vs USD would materially impair reported USD results and likely reverse today's gains.
ANALYSIS
The strongest disconfirming evidence: rs_vs_spy is -5.4 over 12 weeks - ARCO has been a market laggard going into today's earnings pop, and Consumer Staples/Cyclicals are underperforming this week (-2.2% vs SPY); the RS line is not at a new high, and base_tight at 3.3 is wide. This looks like an earnings relief rally rather than a breakout from accumulated leadership. The prox_52w at 93.1 and vol at 2.72x are constructive, but the fundamental backdrop (LatAm FX risk, underperforming RS) limits conviction for follow-through beyond the immediate post-earnings window. Conviction: Medium-Low.
Signal: Close above \$9.00 on vol >250% of 20d avg (already trig
Vol vs Avg: 2.72x



CRVL

CorVel Corp.

\$64.26

+9.25%

RS vs SPY: +22.3%

B STRONG SETUP

\$3.3B Cap | 29M Float

Insurance Brokers | Theme: Workers Comp Tech Services | 52W Hi: 55% | Base Tight: 3.44 | Vol: 2.39x | RS/SPY: +22.3% | Above 20MA: YES | EARNINGS TODAY

SETUP METRICS	
Price	\$64.26
Day Change	+9.25%
Mkt Cap	\$3.29B
Float	29M sh
RS vs SPY	+22.3%
52W Hi Prox	55%
Base Tight	3.44
Vol vs Avg	2.39x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Earnings today driving the +9.25% move on 2.39x volume - likely a strong beat on workers' compensation managed care revenues and margin improvement driven by technology-enabled claims processing. Forward catalyst path: next quarterly earnings (~90 days) plus any expansion announcements in the casualty/liability managed care market; CorVel's growth is tied to workers' comp claim volumes and pricing power, which are recurring and relatively stable.
BUSINESS & POSITION
CorVel is a technology-driven managed care organization providing workers' compensation, auto, and liability managed care services to insurers, self-insured employers, and government entities. Its proprietary technology platform (CAREStat) differentiates it from traditional TPA competitors by enabling real-time claim management and cost containment.
FACTOR & THEME
Healthcare technology and insurance services efficiency are the relevant secular themes; workers' compensation inflation and increasing claim complexity create demand for CorVel's tech-enabled cost management. This is a defensive-growth name with low correlation to macro cyclicality, though it is not a high-velocity thematic name.
BREAKOUT SIGNAL
Close above \$64.00 on vol >200% of 20d avg (already triggered)
INSTITUTIONAL
Volume at 2.39x on a 28.8M float is a strong institutional signal - the small float amplifies the significance of the volume surge. No insider open-market buys in the last 60 days. Institutional ownership data unavailable from this feed; cross-reference 13F. The RS line is not at a new high despite a solid rs_vs_spy of +22.3, and critically, prox_52w at only 54.8 is a major concern - the stock is still nearly 50% below its 52-week high of \$117.22.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings today (May 20). CorVel is a profitable, recurring-revenue services business - the key metrics are organic revenue growth rate, operating margin, and cash flow conversion. A guidance raise at today's report would be the incremental catalyst for further multiple expansion.
KEY RISK
Thesis invalidated on a close back below \$59.00, or if today's earnings report reveals margin compression from rising medical cost trends or technology investment headwinds - with prox_52w at only 54.8, the stock has substantial overhead supply to work through before reaching new highs, which is a multi-month structural headwind.
ANALYSIS
The strongest disconfirming evidence: prox_52w at 54.8 is a significant structural red flag - the stock is trading at barely half its 52-week high of \$117.22, meaning there is massive overhead supply from holders who bought at higher prices and will be looking to exit on any strength; the RS line is not at a new high, and the base is wide. While vol at 2.39x and rs_vs_spy +22.3 are solid, and the business is high quality, the technical structure is that of a deep-value recovery, not a momentum breakout. This is a watch-and-wait situation unless the stock can consolidate today's gains and build a proper base. Conviction: Medium-Low.
Signal: Close above \$64.00 on vol >200% of 20d avg (already tri
Vol vs Avg: 2.39x

